share, representing a 25 percent premium to the prevailing $36 market price. He saw that, even after paying a sizeable premium, Cities was still cheap at $45.[13] Mesa would be paying less than $5 per barrel for Cities' oil reserves at a time when oil traded north of $30 per barrel. Pickens was putting the finishing touches to Mesa's financing package when Cities, tipped off about Mesa's bid for it, announced a preemptive bid for Mesa. Pickens described the offer as "in some respects . . . a joke."[14] Cities had offered just $17 per share for Mesa stock then trading in the market for $16.75, a miniscule 1.5 percent premium. Still, Cities' bid put Pickens at a substantial timing disadvantage. The tender offer laws required a 20-day standstill before the bidder could pay for the tendered stock. By filing first, Cities would have the opportunity to start buying Mesa stock before Mesa could buy Cities stock.

Pickens' solution was a *bear hug*, a "friendly" offer made to a company's board, rather than directly to the shareholders, and intended to put pressure on the board to respond. The beauty of it, in Pickens' mind, was that it would generate coverage in the media, alerting the stockholders to Mesa's interest in the company, and give Pickens more time to stitch together the finance for a tender offer. Pickens placed a call to Cities' chairman Charles Waidelich, and told him that Mesa was offering $50 per share for Cities. Waidelich explained to Pickens that Cities wasn't interested, and he didn't even intend to let the rest of his board know about the offer. It didn't matter. The call had accomplished Pickens' purpose, which was to put an offer to Cities' board that could be used to let Cities' shareholders know that Mesa was still in the game.

Pickens and his team scrambled to line up equity partners and debt financing. His pitch was that Mesa and its partners would be buying oil in the ground for $5 per barrel when the industry's "finding costs" alone ran to $15 a barrel. No money was required up front. All that potential partners needed to do was agree to buy the stock once it was tendered, by which time the success of the takeover would be assured. It was a compelling pitch, but, with Cities' bid hanging over their heads, Pickens found the going tough. He found plenty of parties interested in Mesa's offer, but not one that wanted to commit. Then, on Thursday, June 17, Gulf Oil announced a $63 per share bid for all of Cities' common stock, almost $20 per share more than Mesa's bid, and close to double the pre-bid market price. The announcement also included the important detail that Cities' board had agreed to accept the offer. Pickens was ecstatic. Mesa couldn't get control of Cities because Gulf's offer was simply too good, but they would crystalize a quick $70 million profit on their huge position in Cities' stock. His mood soured, however, when he realized that Cities' bid for Mesa was still alive. Mesa's lawyer contacted Cities' attorney to get the bad news: Cities proposed to drop its offer for Mesa only if Mesa sold its Cities stock back to Cities at cost, eliminating